U.S. Homebuilding and Building Products

Earnings Catch-Up: HLMN, JELD, TOL

HLMN earnings inflection pushed further right; JELD volume softness remains though cost actions support flattish y/y EBITDA; TOL becomes more 2H-weighted with stretched multiple.

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Unchanged

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Hillman Solutions Corp. - Steering Cautiously Forward

Anticipated 1H tariff pressure and ongoing trough market backdrop leaves a softer entry point into 2026, with the question of earnings inflection remains pushed to the right, although new product wins and small-ticket skew should be a benefit. Reiterate EW, PT remains $10.

Remain EW: With FY'26 guidance now introduced, we anticipate the earnings inflection will continue awaiting a broader macro inflection as ongoing tariff headwinds and softer market volumes underpin somewhat slower FY'26 expectations vs where we sense investors were prior to the print. We do sense that some conservatism could be built into the guide as HLMN assumed negative market volumes in 2026, with either better existing home sales or a slightly lesser tariff headwind (following Friday's Supreme Court decision) potentially supporting upside. HLMN's small-ticket positioning could further lead to some relative earnings resilience (market volumes down -MSD in 2025, offset fully by price). Of note, management highlighted that it would no longer report quarterly price and volume dynamics for competitive and customer reasons. The set-up appears geared for a 2H ramp as higher cost inventory related to tariffs rolls through 1H and 1Q could see additional seasonal / weather-related slowdown. Positively, we would expect new business wins and bolt-on M&A to continue being a theme in 2026, but also look for greater signs of RDS recovery and Canada margin / top-line growth improvement now following several years at earnings trough.

Looking Ahead: HLMN guided top-line growth in 2026 to be driven by rollover pricing (+MSD) and new business wins, with market volumes implied down slightly at the midpoint of the guide. HLMN anticipates further M&A opportunities into 2026, pointing to 1-2 M&A deals in 2026, likely bolt-ons in nature. We expect a softer entry into 1Q given the full impact of tariffs rolling through, some weather pressure from January and February, and 1Q guided to being the low point of the guided FY'26 46-47% gross margin (guided to falling slightly below that range). FCF is expected to turn positive in the 2-4Q (guided $100-120 mn for the FY). On a segment level, we think new business wins and stronger Pro products should continue being supportive of steady HPS top-line growth as HLMN reinforces its competitive moat and operational reliability with its sales force. We think the Canada segment could continue looking softer through the year,

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although HLMN noted a return to growth in 2026. RDS, which benefited from the ongoing MinuteKey 3.5 roll-out in 2025, is now anticipated to see a slowdown in MinuteKey 3.5 investments. We look for greater signs of margin improvement sequentially into 2026 as the RDS segment returned to greater growth in 2025. Looking ahead, we think the March 19th Investor Day could be a positive catalyst for the stock if HLMN can point to additional wins or M&A supportive of the long-term growth algorithm.

Valuation; Revisions: Our price target of $10 is based on 9.5x our FY'26e EBITDA estimate of $278 mn (incl. SBC, $263 mn). Our FY'26/'27 revenue estimates are $1.63/$1.68 bn (prior $1.65/$1.70 bn). Our FY'26/'27 adj. EBITDA is now $278/$290 mn (from $278/$291 mn), and reflects margins of 17.0%/17.3% (16.8%/17.1% prior).

Summary of our Ratings, Price Targets and Earnings Changes in this Report (all changes are shown in bold)

	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
Company	**Old**	**New**	**20-Feb-26**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**
U.S. Homebuilding & Building Products	Pos	Pos										
Hillman Solutions Corp (HLMN)	EW	EW	8.95	10.00	10.00	-	0.49	0.49	-	0.53	**0.52**	-2
JELD-WEN Holding, Inc. (JELD)	EW	EW	2.17	2.50	2.50	-	-0.31	**-0.69**	-123	-0.02	**-0.42**	-2000
Toll Brothers Inc. (TOL)	UW	UW	162.00	110.00	**116.00**	5	12.80	**12.72**	-1	13.34	**13.31**	-

Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative.

Valuation Methodology and Risks

U.S. Homebuilding & Building Products

Hillman Solutions Corp (HLMN / HLMN)

Valuation Methodology: Our $10 price target reflects 9.5x our CY'26e EBITDA of $263 mn (including stock based comp), and assumes current net debt $586 mn. Our target multiple assumes that HLMN trades in-line with industrial distribution peers, but at a discount to peer FAST, which we think is fair given its similar product categories but different end-market and customer exposures.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the upside include the potential tailwind of new business wins in 2025 along with favorable price cost benefit. Other risks include: 1) Significant home center exposure further delays timing of price-cost recovery; 2) Inflation in steel and transportation costs pressures margins; 3) Slower than expected remodeling activity weighs on volumes and degrades pricing power; 4) Material shortages delay rollout of Robotics products; 5) Changes in relationships with key customers; 6) Import risk.

JELD-WEN Holding, Inc. (JELD / JELD)

Valuation Methodology: Our $2.50 price target reflects 10.6x our CY'26e EBITDA of $125 mn, which assumes YE'26 net debt of $1.1 bn, and removes pensions of $24 mn.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our Equal Weight rating and price target include: To the upside: 1) JELD sees deflationary dynamics in hardwoods & other raw materials, supporting margin expansion; 2) European demand outperforms expectations; 3) JELD executes successful cost offsets on transportation & raw material inflation; 4) North American end markets see greater than expected acceleration. To the downside: 1) The Window industry structure is less favorable, 2) Raw material pressures could be a challenge for JELD's sourcing initiatives and could pressure margins without a pricing offset; 3) JELD has relatively higher international exposure including exposure to European end markets; 4) legal proceeding risk.

Toll Brothers Inc. (TOL / TOL)

Valuation Methodology: Our $116 price target reflects 1.2x our CY'26e book value of $96.93. We feel this multiple is justified due to TOL's lower relative ROE vs. industry leading peers, greater margin volatility reflecting its movement toward spec, and less favorable geographic / demographic and land exposure.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: (1) Softer demand trends at the high-end; (2) additional price cuts at TOL's higher-end price points relative to the more affordable end of the market; (3) inability to boost absorptions depressing ROTE. Upside risks include a lower interest rate environment driving improved demand, recovery in spec margins with lower incentives, and high-end buyer resiliency.

Source: Barclays Research

Investment Summary and Conclusion

We rate HLMN as Equal Weight with a $10 price target

HLMN operates across the U.S. and Canada with 24 distribution centers providing service to ~42,000 locations through an 1,200-person team network. HLMN provides key products including fasteners, hardware, electrical components, personal protective equipment, and kiosk-based robotic solutions.

The company generated 77% of sales (2025) from Hardware & Protective solutions, 14% from Robotics & Digital Solutions, and 9% from Canada. HLMN has exposure across DIY & Professionals (~90% of sales) and commercial (~10% of sales) activities. 43% of sales go to two big-box retailers (HD/LOW), with the remaining going to traditional hardware, farm & ranch markets, and other markets (specialty, mass merchant, commercial/industrial), with no more than 10% of revenue coming from other customers.

Valuation

We rate HLMN Equal Weight with a $10 price target. Our $10 price target represents 9.5x our FY'2026e EBITDA estimate of $278 mn ($263 mn including stock-based comp), and assumes current net debt $586 mn. Our prior price target of $10 was based on 9.5x our prior FY'26 EBITDA of $278 mn ($263 mn including SBC).

FIGURE 1. HLMN Valuation and Upside/Downside Scenarios

HLMN Valuation	Base Case	Upside	Downside
FY26E EBITDA ($ mln)	$278	$300	$262
FY26E EBITDA, incl. SBC ($ mln)	$263	$285	$247
EV/EBITDA Multiple	9.5x	10.5x	7.5x
Enterprise Value ($ mln)	$2,496	$2,993	$1,853
Less: Net Debt (FY'26e) ($ mln)	$586	$586	$586
Equity Value ($ mln)	$1,910	$2,407	$1,267
Shares Outstanding (FY'26 EOP)	198	198	198
Implied Value	**$10**	**$12**	**$6**

Source: Barclays Research Estimates, Company Data

FIGURE 2. HLMN Summary Model

Hillman Solutions Corp.	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Period Ending:	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24	12/31/25	12/31/26	12/31/27
Total Revenues ($ mn)	$974	$1,214	$1,368	$1,426	$1,486	$1,476	$1,473	$1,552	$1,629	$1,682
% growth		24.7%	12.7%	4.2%	4.2%	(0.7%)	(0.3%)	5.4%	4.9%	3.3%
Gross Margin %	44.8%	42.9%	42.9%	39.7%	43.0%	43.9%	48.1%	48.7%	46.4%	46.9%
Adjusted EBITDA ($ mn)		$179	$221	$207	$210	$219	$250	$275	$278	$290
Adjusted EBITDA Margin %		14.7%	16.2%	14.5%	14.1%	14.9%	16.9%	17.7%	17.0%	17.3%
Incremental Adj. EBITDA Margin %			27.7%	(23.9%)	4.3%	(95.0%)	(776.7%)	32.4%	3.1%	23.7%
Adjusted Diluted EPS	$0.00	$0.00	$0.61	$0.51	$0.43	$0.41	$0.53	$0.58	$0.49	$0.52
Balance Sheet & Cash Flow										
Free Cash Flow ($ mn)		($5)	$47	($162)	$49	$172	$98	$35	$112	$134
FCF / Adj. EBITDA		(3.0%)	21.2%	**(78.0%)**	23.5%	78.5%	39.3%	12.7%	40.3%	46.0%
Net Debt ($ mn)		$1,576	$1,525	$903	$864	$703	$660	$656	$586	$494
Net Debt / Adj. EBITDA		8.8x	6.9x	4.4x	4.1x	3.2x	2.6x	2.4x	2.1x	1.7x
ROIC		- %	(2.7%)	(2.6%)	(2.9%)	(3.2%)	(4.1%)	(4.6%)	(4.3%)	(4.5%)
Segments										
Hardware and Protective Solutions - Revenue ($ mn)		$853	$1,024	$1,025	$1,069	$1,075	$1,108	$1,194	$1,259	$1,297
% growth y/y			20.1%	0.1%	4.3%	0.6%	3.1%	7.8%	5.4%	3.0%
Hardware and Protective Solutions - EBITDA ($ mn)			$154	$114	$109	$123	$156	$196	$196	$204
EBITDA Margin %			15.0%	11.1%	10.2%	11.5%	14.1%	16.4%	15.6%	15.7%
Robotics and Digital Solutions - Revenue ($ mn)		$236	$209	$250	$246	$245	$217	$220	$229	$241
% growth y/y			(11.4%)	19.2%	(1.6%)	(0.1%)	(11.7%)	1.6%	3.8%	5.5%
Robotics and Digital Solutions - EBITDA ($ mn)			$60	$83	$81	$81	$70	$66	$68	$72
EBITDA Margin %			28.8%	33.3%	32.9%	33.0%	32.4%	29.9%	29.6%	30.0%
Canada - Revenue ($ mn)		$125	$135	$151	$172	$156	$148	$138	$142	$144
% growth y/y			7.5%	12.5%	13.5%	(9.0%)	(5.5%)	(6.6%)	2.5%	2.0%
Canada - EBITDA ($ mn)			$7	$11	$21	$15	$16	$13	$14	$14
EBITDA Margin %			5.3%	7.0%	12.1%	9.8%	10.7%	9.5%	9.6%	9.7%

Source: Barclays Research Estimates, Company Data

FIGURE 3. Annual Income Statement ($ mn)

Hillman Solutions Corp. Income Statement $mn ex. per share data	12/31/18 2018	12/31/19 2019	12/31/20 2020	12/31/21 2021	12/31/22 2022	12/31/23 2023	12/31/24 2024	12/31/25 2025	12/31/26 2026E	12/31/27 2027E
Total Sales	974	1,214	1,368	1,426	1,486	1,476	1,473	1,552	1,629	1,682
Cost of sales	(538)	(694)	(782)	(860)	(847)	(829)	(765)	(796)	(872)	(893)
Gross Margin	**436**	**520**	**586**	**566**	**640**	**648**	**708**	**756**	**757**	**789**
SG&A Expense	(321)	(382)	(398)	(438)	(481)	(452)	(489)	(502)	(494)	(515)
Depreciation	(46)	(66)	(67)	(59)	(58)	(59)	(69)	(80)	(85)	(91)
Amortization	(45)	(59)	(59)	(61)	(62)	(62)	(61)	(61)	(66)	(70)
Management fees to related party	(1)	(1)	(1)	(0)	-	-	-	-	-	-
Other expense	3	(6)	5	3	1	(13)	(0)	1	-	-
Operating Income	**27**	**8**	**66**	**10**	**40**	**61**	**89**	**114**	**112**	**113**
Interest expense	(71)	(102)	(87)	(61)	(55)	(68)	(59)	(56)	(61)	(61)
Change in fair value of warrant derivative liability	-	-	-	(4)	-	-	-	-	-	-
Interest expense on junior subordinated debentures	(13)	(13)	(13)	(8)	-	-	-	-	-	-
Investment income on trust common securities	0	0	2	0	-	-	-	-	-	-
Loss on mark-to-market adjustment of interest rate swap	(1)	(3)	(2)	2	-	-	-	-	-	-
Refinancing costs	(12)	-	-	(8)	-	-	(3)	(1)	-	-
Other	-	-	-	19	-	-	-	-	-	-
EBT (Continuing Ops.)	(68)	(109)	(34)	(50)	(15)	(7)	27	57	51	52
Tax expense	9	23	9	12	(2)	(2)	(9)	(16)	(13)	(13)
Income (loss) from Continuing Ops.	(59)	(85)	(24)	(38)	(16)	(10)	17	40	38	39
Foreign currency translation adjustments	(11)	6	3	(0)	-	-	-	-	-	-
Other comprehensive loss	-	-	-	3	-	-	-	-	-	-
Net Income (loss) - GAAP	(70)	(80)	(22)	(36)	(16)	(10)	17	40	38	39
Earnings Adjustments			77	105	100	90	87	76	60	64
Net Income (loss) - Adjusted			55	69	84	80	104	116	98	104
Diluted EPS from Continuing Ops. - Adjusted			**$0.61**	**$0.51**	**$0.43**	**$0.41**	**$0.53**	**$0.58**	**$0.49**	**$0.52**
Diluted EPS - GAAP										
Income (loss) from continuing ops.	($0.65)	($0.94)	($0.27)	($0.28)	($0.08)	($0.05)	$0.09	$0.20	$0.19	$0.20
Loss from discontinued ops.	$0.00	$0.00	$0.00	$0.02	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
Net Income (loss)	($0.77)	($0.88)	($0.24)	($0.27)	($0.08)	($0.05)	$0.09	$0.20	$0.19	$0.20
Basic EPS										
Income (loss) from continuing ops.	($0.65)	($0.95)	($0.27)	($0.28)	($0.08)	($0.05)	$0.09	$0.20	$0.19	$0.20
Loss from discontinued ops.	$0.00	$0.00	$0.00	$0.02	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
Net Income (loss)	($0.78)	($0.89)	($0.24)	($0.27)	($0.08)	($0.05)	$0.09	$0.20	$0.19	$0.20
Basic Shares	90	90	90	135	194	195	196	197	197	196
Diluted Shares	91	91	91	136	195	197	198	199	200	199
EBITDA Calc										
Net Income	(59)	(85)	(24)	(38)	(16)	(10)	17	40	38	39
+ Income taxes	(9)	(23)	(9)	(12)	2	2	9	16	13	13
+ Interest expense	71	102	87	61	55	68	59	56	61	61
+ Interest expense on junior subordinated debentures	13	13	13	8	-	-	-	-	-	-
+ Investment income on trust common securities	(0)	(0)	(2)	(0)	-	-	-	-	-	-
+ Depreciation	46	66	67	59	58	59	69	80	85	91
+ Amortization	45	59	59	61	62	62	61	61	66	70
+ Mark-to-market adjustment on interest rate swaps	1	3	2	(2)	-	-	-	-	-	-
EBITDA	**106**	**132**	**193**	**138**	**160**	**183**	**216**	**254**	**263**	**275**
Margin %	10.9%	10.9%	14.1%	9.7%	10.8%	12.4%	14.7%	16.4%	16.1%	16.3%
Total Adjustments	33	46	29	70	50	37	34	21	15	16
Adjusted EBITDA	**140**	**179**	**221**	**207**	**210**	**219**	**250**	**275**	**278**	**290**
Adjusted EBITDA Margin %	**14.3%**	**14.7%**	**16.2%**	**14.5%**	**14.1%**	**14.9%**	**16.9%**	**17.7%**	**17.0%**	**17.3%**
Incremental EBITDA Margin %		16.2%	27.7%	(23.9%)	4.3%	(95.0%)	(776.7%)	32.4%	3.1%	23.7%

Source: Barclays Research Estimates, Company Data

FIGURE 4. Quarterly Income Statement Model ($ mn)

Hillman Solutions Corp. Income Statement $mn ex. per share data	12/31/23 2023	3/31/24 1Q/24	6/30/24 2Q/24	9/30/24 3Q/24	12/31/24 4Q/24	12/31/24 2024	3/31/25 1Q/25	6/30/25 2Q/25	9/30/25 3Q/25	12/31/25 4Q/25	12/31/25 2025	3/31/26 1Q/26E	6/30/26 2Q/26E	9/30/26 3Q/26E	12/31/26 4Q/26E	12/31/26 2026E	3/31/27 1Q/27E	6/30/27 2Q/27E	9/30/27 3Q/27E	12/31/27 4Q/27E	12/31/27 2027E
Total Sales	1,476	350	379	393	350	1,473	359	403	425	365	1,552	380	430	440	380	1,629	393	444	454	392	1,682
Cost of sales	(829)	(183)	(195)	(204)	(183)	(765)	(191)	(208)	(205)	(191)	(796)	(205)	(232)	(233)	(202)	(872)	(211)	(237)	(238)	(207)	(893)
Gross Margin	**648**	**167**	**185**	**190**	**167**	**708**	**169**	**194**	**220**	**174**	**756**	**174**	**199**	**206**	**178**	**757**	**182**	**207**	**216**	**185**	**789**
SG&A Expense	(452)	(119)	(121)	(130)	(119)	(489)	(119)	(124)	(138)	(121)	(502)	(122)	(126)	(128)	(118)	(494)	(127)	(130)	(135)	(123)	(515)
Depreciation	(59)	(16)	(16)	(18)	(18)	(69)	(19)	(20)	(20)	(21)	(80)	(21)	(21)	(22)	(22)	(85)	(22)	(23)	(23)	(24)	(91)
Amortization	(62)	(15)	(15)	(15)	(15)	(61)	(15)	(15)	(15)	(15)	(61)	(16)	(16)	(16)	(16)	(66)	(18)	(17)	(17)	(18)	(70)
Management fees to related party																					-
Other expense	(13)	-	-	1	-	-	-	1	-	-	1										-
Operating Income	**61**	**16**	**32**	**27**	**14**	**89**	**15**	**36**	**46**	**17**	**114**	**15**	**35**	**40**	**21**	**112**	**15**	**36**	**41**	**21**	**113**
Interest expense	(68)	(15)	(14)	(15)	(15)	(59)	(14)	(14)	(15)	(13)	(56)	(15)	(16)	(16)	(14)	(61)	(15)	(16)	(16)	(14)	(61)
Change in fair value of warrant derivative liability																					-
Interest expense on junior subordinated debentures																					-
Investment income on trust common securities																					-
Loss on mark-to-market adjustment of interest rate swap																					-
Refinancing costs		(3)				(3)	(1)				(1)										-
Other	-						-														-
EBT (Continuing Ops.)	(7)	**(2)**	**18**	**12**	**(1)**	27	**-**	**22**	**31**	**3**	57	**-**	**20**	**24**	**7**	51	**-**	**20**	**25**	**7**	52
Tax expense	(2)	-	(5)	(4)	-	(9)	-	(7)	(8)	(2)	(16)	-	(5)	(6)	(2)	(13)	-	(5)	(6)	(2)	(13)
Income (loss) from Continuing Ops.	(10)	**(1)**	**13**	**7**	**(1)**	17	**-**	**16**	**23**	**2**	40	**-**	**15**	**18**	**5**	38	**-**	**15**	**19**	**5**	39
Foreign currency translation adjustments																					-
Other comprehensive loss																					-
Net Income (loss) - GAAP	(10)	**(1)**	**13**	**7**	**(1)**	17	**-**	**16**	**23**	**2**	40	**-**	**15**	**18**	**5**	38	**-**	**15**	**19**	**5**	39
Earnings Adjustments	90	22	19	25	22	87	19	18	21	18	76	15	15	15	15	60	16	16	16	16	64
Net Income (loss) - Adjusted	80	20	31	32	21	104	19	34	44	20	116	15	30	34	20	98	16	31	35	21	104
Diluted EPS from Continuing Ops. - Adjusted	**$0.41**	**$0.10**	**$0.16**	**$0.16**	**$0.10**	**$0.53**	**$0.10**	**$0.17**	**$0.22**	**$0.10**	**$0.58**	**$0.07**	**$0.15**	**$0.17**	**$0.10**	**$0.49**	**$0.08**	**$0.16**	**$0.18**	**$0.11**	**$0.52**
Diluted EPS - GAAP																					
Income (loss) from continuing ops.	($0.05)	($0.01)	$0.06	$0.04	($0.01)	$0.09	$0.00	$0.08	$0.12	$0.01	$0.20	$0.00	$0.07	$0.09	$0.03	$0.19	$0.00	$0.08	$0.09	$0.03	$0.20
Loss from discontinued ops.	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
Net Income (loss)	($0.05)	($0.01)	$0.06	$0.04	($0.01)	$0.09	$0.00	$0.08	$0.12	$0.01	$0.20	$0.00	$0.07	$0.09	$0.03	$0.19	$0.00	$0.08	$0.09	$0.03	$0.20
Basic EPS																					
Income (loss) from continuing ops.	($0.05)	($0.01)	$0.06	$0.04	($0.01)	$0.09	$0.00	$0.08	$0.12	$0.01	$0.20	$0.00	$0.07	$0.09	$0.03	$0.19	$0.00	$0.08	$0.10	$0.03	$0.20
Loss from discontinued ops.	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
Net Income (loss)	($0.05)	($0.01)	$0.06	$0.04	($0.01)	$0.09	$0.00	$0.08	$0.12	$0.01	$0.20	$0.00	$0.07	$0.09	$0.03	$0.19	$0.00	$0.08	$0.10	$0.03	$0.20
Basic Shares	195	195	196	196	197	196	197	198	198	197	197	199	198	197	196	197	198	197	196	195	196
Diluted Shares	197	198	198	199	197	198	200	199	200	200	199	201	200	199	198	200	200	199	198	197	199
EBITDA Calc																					
Net Income	(10)	(1)	13	7	(1)	17	-	16	23	2	40	-	15	18	5	38	-	15	19	5	39
+ Income taxes	2	-	5	4	-	9	-	7	8	2	16	-	5	6	2	13	-	5	6	2	13
+ Interest expense	68	15	14	15	15	59	14	14	15	13	56	15	16	16	14	61	15	16	16	14	61
+ Interest expense on junior subordinated debentures																					-
+ Investment income on trust common securities																					-
+ Depreciation	59	16	16	18	18	69	19	20	20	21	80	21	21	22	22	85	22	23	23	24	91
+ Amortization	62	15	15	15	15	61	15	15	15	15	61	16	16	16	16	66	18	17	17	18	70
+ Mark-to-market adjustment on interest rate swaps																					-
EBITDA	**183**	**45**	**63**	**60**	**48**	**216**	**49**	**71**	**81**	**53**	**254**	**52**	**73**	**78**	**59**	**263**	**55**	**76**	**81**	**62**	**275**
Margin %	12.4%	12.8%	16.6%	15.3%	13.6%	14.7%	13.6%	17.7%	19.1%	14.4%	16.4%	13.7%	17.0%	17.8%	15.7%	16.1%	13.9%	17.2%	18.0%	15.8%	16.3%
Total Adjustments	37	7	5	12	9	34	6	4	7	5	21	3	4	4	4	15	4	4	4	4	16
Adjusted EBITDA	**219**	**52**	**68**	**73**	**56**	**250**	**55**	**75**	**88**	**57.537**	**275**	**55**	**77**	**82**	**63**	**278**	**58**	**80**	**86**	**66**	**290**
Adjusted EBITDA Margin %	**14.9%**	**14.9%**	**18.0%**	**18.4%**	**16.1%**	**16.9%**	**15.2%**	**18.7%**	**20.7%**	**15.8%**	**17.7%**	**14.6%**	**17.8%**	**18.7%**	**16.6%**	**17.0%**	**14.8%**	**18.1%**	**18.9%**	**16.8%**	**17.3%**
Incremental EBITDA Margin %	(95.0%)	2029.4%	(1767.5%)	(101.6%)	108.3%	(776.7%)	24.4%	29.4%	48.9%	8.1%	32.4%	4.2%	5.7%	(39.2%)	39.1%	3.1%	22.3%	25.1%	24.6%	22.8%	23.7%

Source: Barclays Research Estimates, Company Data

JELD Inc. - Volumes Remain Pressured, Cost Actions Ongoing

Cyclical and share-related volume weakness remains a headwind through 2026 with limited visibility on recovery. Productivity initiatives are encouraging and should add ~$110m benefit in 2026, supporting flattish EBITDA y/y at low levels. Await further liquidity measures (ie. more sale-leasebacks, review of European business, sale of NA assets) to fund 2027 debt maturity. PT remains $2.50

Remain EW: JELD continues to see a stubbornly subdued volume backdrop as deteriorating consumer sentiment and industry trade-down dynamics persist. Into 2026, we see limited catalysts for volume recovery in the door and window category and we expect JELD to incur additional share loss as they try to pass pricing through to offset cost inflation, altogether leading to our FY'26 core revenue estimate down -7.2% (underperforming relative to JELD's market assumption for doors and windows down LSD-MSD %). Positively, we think management continues to make efforts around productivity and plant efficiency with ~$110m of productivity gains guided for 2026. ~50% of this is tied to completed initiatives in 2025 that will benefit 2026, ~25% consists of efforts that have been actioned but not yet hit P&L, and the other 25% includes ideas in the pipeline that still need to be actioned.

We think management is transparent on deteriorating market fundamentals and working to right-size the business / streamline headcount in the near term while seeking alternate ways to generate liquidity and chip away at leverage. Net leverage was 8.6x in 4Q and JELD remains exploratory on efforts to increase liquidity, especially as the December 2027 debt maturity nears. In 4Q, JELD conducted a sale-leaseback with its Coral Springs facility, resulting in $38m net proceeds. We think further sale-leasebacks, the review of the European business and other North American assets are all options that remain on the table in 2026. Altogether, we remain sidelined into 2026 as we approach the looming debt maturity and look for more material cash generation while awaiting a bottoming in volume and price – which we do not yet have conviction on.

Details: We are not assuming any pickup in volumes as we move through the year noting our FY'26 estimates for NA volume / mix -10% y/y, although with NA price eventually flipping slightly positive. We expect flatter trends in Europe with management looking to benefit from pricing actions previously implemented in 2025 at the expense of volumes. While our estimates assume JELD incurs a ~$32m headwind from tariffs in 2026 (annualized $40m; Also, we are not yet assuming any material change from this tariff guide related to last week's Supreme Court IEEPA decision and President Trump's subsequent tariff announcement). We assume FY'26 capex near ~$100m which is largely maintenance driven and currently do not bake in assumptions around the potential sale of assets to fund the 2027 debt maturity though we expect JELD to keep reviewing options in the coming quarters.

Estimates & Revisions: Our '26E adj. EBITDA moves to $125 mn (prior $158 mn) and our '27E adj. EBITDA moves to $155 mn (prior $194 mn). Our PT of $2.50 is 10.6x our FY'26E EBITDA of $125 mn.

Valuation

We rate JELD Equal Weight with a price target of $2.50. Our $2.50 price target is based on 10.6x our FY'26E EBITDA estimate of $125 mn, which assumes YE'26 net debt of $1.1 bn, and removes pensions of $24 mn. Our previous $2.50 price target was 8.1x our prior FY'26E EBITDA of $158 mn.

FIGURE 5. JELD Valuation and Upside / Downside Scenarios

JELD Valuation	Base Case	Upside	Downside
FY26E EBITDA ($ mln)	$125	$155	$93
EV/EBITDA Multiple	10.6x	9.25x	13.8x
Enterprise Value ($ mln)	$1,330	$1,433	$1,277
Less: Net Debt ('26 EOP) ($ mln)	$1,093	$1,063	$1,126
Less: Pension ('26 EOP) ($ mln)	$24	$24	$24
Equity Value ($ mln)	$213	$346	$127
Shares Outstanding	86	86	86
Value per Share	**$2.50**	**$4.00**	**$1.50**

Source: Barclays Research Estimates, Company Data

FIGURE 6. JELD Summary Model

JELD-WEN	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Total Revenues ($ mln)	$3,381	$3,667	$3,764	$4,346	$4,290	$4,236	$4,772	$5,129	$4,446	$3,776	$3,211	$3,031	$3,103
% growth	(3.6%)	8.5%	2.6%	15.5%	(1.3%)	(1.3%)	12.7%	7.5%	(13.3%)	(15.1%)	(14.9%)	(5.6%)	2.4%
% organic growth	3.3%	3.2%	0.1%	0.5%	(2.3%)	(1.9%)	10.0%	12.1%	(5.1%)	(12.0%)	(11.6%)	(7.1%)	2.4%
Operating Income ($ mln)	$132	$226	$275	$184	$212	$199	$271	$182	$185	$36	($162)	($7)	$23
Op. Margin %	3.9%	6.2%	7.3%	4.2%	5.0%	4.7%	5.7%	3.6%	4.2%	1.0%	(5.0%)	(0.2%)	0.7%
Incremental Op. Margin %	(57.1%)	32.8%	50.0%	(15.6%)	(51.4%)	23.7%	13.4%	(24.8%)	(0.4%)	22.1%	35.1%	(85.8%)	41.3%
Adjusted EBITDA ($ mln)	$311	$392	$435	$459	$416	$446	$465	$422	$395	$277	$120	$125	$155
Adjusted EBITDA Margin %	9.2%	10.7%	11.6%	10.6%	9.7%	10.5%	9.7%	8.2%	8.9%	7.3%	3.7%	4.1%	5.0%
Adjusted Diluted EPS	$1.03	$1.51	$1.46	$1.54	$1.16	$1.57	$1.79	$1.89	$1.56	$0.80	($0.82)	($0.69)	($0.42)
Balance Sheet & Cash Flow													
Free Cash Flow ($ mln)	$95	$122	$203	$101	$167	$259	$76	($62)	$234	($68)	($141)	($58)	$86
FCF / Adj. EBITDA	30.4%	31.1%	46.6%	22.0%	40.1%	58.0%	16.3%	(14.7%)	59.4%	(24.4%)	(117.1%)	(45.9%)	55.2%
Net Debt ($ mln | Including Pension)	$1,253	$1,643	$1,134	$1,468	$1,395	$1,147	$1,371	$1,562	$964	$1,054	$1,060	$1,117	$1,031
Net Debt / Adj. EBITDA	4.0x	4.2x	2.6x	3.2x	3.4x	2.6x	2.9x	3.7x	2.4x	3.8x	8.8x	8.9x	6.6x
ROIC	5.5%	7.8%	8.5%	5.0%	5.3%	4.6%	6.2%	2.7%	4.1%	-4.1%	-15.9%	-0.3%	1.1%
Segments													
North America - External Sales ($ mln)	$2,016	$2,149	$2,158	$2,460	$2,535	$2,529	$2,829	$3,259	$3,123	$2,708	$2,154	$1,935	$1,985
% growth	1.3%	6.6%	0.4%	14.0%	3.0%	(0.2%)	11.9%	15.2%	(4.2%)	(13.3%)	(20.5%)	(10.2%)	2.6%
North America Adj. EBITDA ($ mln)	202	251	273	280	267	316	353	353	382	254	102	104	125
% margin	10.0%	11.7%	12.7%	11.4%	10.5%	12.5%	12.5%	10.8%	12.2%	9.4%	4.7%	5.4%	6.3%
Europe - External Sales ($ mln)	$996	$1,009	$1,043	$1,216	$1,179	$1,188	$1,352	$1,284	$1,181	$1,067	$1,057	$1,097	$1,118
% growth	(10.1%)	1.3%	3.4%	16.6%	(3.1%)	0.8%	13.9%	(5.0%)	(8.0%)	(9.7%)	(1.0%)	3.8%	2.0%
Europe Adj. EBITDA ($ mln)	100	122	131	123	116	136	127	74	82	68	55	59	70
% margin	10.0%	12.1%	12.6%	10.1%	9.9%	11.5%	9.4%	5.8%	6.9%	6.3%	5.2%	5.4%	6.2%

Source: Barclays Research Estimates, Company Model

FIGURE 7. Annual Income Statement ($ mn)

JELD-WEN Holding, Inc. Fiscal Year Ending December 31 Income Statement	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
North America	2,149	2,158	2,460	2,535	2,529	2,829	3,259	3,123	2,708	2,154	1,935	1,985
Europe	1,009	1,043	1,216	1,179	1,188	1,352	1,284	1,181	1,067	1,057	1,097	1,118
Australasia	509	563	670	577	519	590	585	142	0	0	0	0
Net Revenues	**3,667**	**3,764**	**4,346**	**4,290**	**4,236**	**4,772**	**5,129**	**4,446**	**3,776**	**3,211**	**3,031**	**3,103**
Cost of Sales	(2,892)	(2,916)	(3,428)	(3,417)	(3,334)	(3,796)	(4,184)	(3,574)	(3,087)	(2,697)	(2,521)	(2,550)
Gross Profit	**775**	**847**	**918**	**873**	**902**	**975**	**945**	**873**	**689**	**514**	**510**	**553**
Selling, General and Administrative	(553)	(573)	(734)	(661)	(703)	(705)	(766)	(688)	(653)	(551)	(518)	(531)
Impairment and restructuring	(14)	(13)	(17)	(22)	(10)	(3)	(73)	(36)	(163)	(366)	0	0
Operating Income (Loss)	**208**	**261**	**166**	**191**	**189**	**267**	**106**	**149**	**(127)**	**(403)**	**(7)**	**23**
Interest Income												
Interest Expense	(78)	(79)	(71)	(72)	(75)	(78)	(82)	(72)	(67)	(67)	(72)	(71)
Loss on debt extinguishment	-	(23)	-	0	0	-	-	(7)	(2)	(0)	-	-
Other Income (Expense)	(1)	(17)	35	1	3	15	55	27	25	11	0	0
Income (Loss) Before Taxes	**129**	**142**	**130**	**120**	**117**	**204**	**79**	**98**	**(169)**	**(459)**	**(80)**	**(49)**
Income Tax Benefit (Expense)	247	(138)	10	(57)	(25)	(36)	(33)	(66)	(17)	(151)	20	12
Net Earnings, continuing op.	**376**	**4**	**140**	**63**	**92**	**168**	**46**	**32**	**(186)**	**(610)**	**(60)**	**(36)**
Net Income, disc. op.	(3)	1	-	-	-	-	-	32	-	1	-	-
Gain on sale of discontinued ops, net of tax	-	-	-	-	-	-	-	(1)	-	(0)	-	-
Equity earnings (loss) of non-consolidated entities	4	3	1	-	-	-	-	-	-	-	-	-
Net Income (loss)	**376**	**8**	**141**	**63**	**92**	**168**	**46**	**62**	**(186)**	**(609)**	**(60)**	**(36)**
Non-recurring (expense) income items	(211)	152	23	55	68	8	119	72	255	539	-	-
Net Earnings, adjusted	**165**	**160**	**164**	**118**	**159**	**176**	**165**	**134**	**69**	**(70)**	**(60)**	**(36)**
Earnings Per Share												
Diluted, continuing op.	**$3.42**	**$0.04**	**$1.32**	**$0.62**	**$0.90**	**$1.71**	**$0.52**	**$0.37**	**($2.16)**	**($7.15)**	**($0.69)**	**($0.42)**
Diluted, discontinued op.	($0.03)	$0.01	$0.00	$0.00	$0.00	$0.00	$0.00	$0.37	$0.00	$0.01	$0.00	$0.00
Diluted, non-recurring items	($1.92)	$1.39	$0.21	$0.54	$0.67	$0.08	$1.36	$0.84	$2.96	$6.32	$0.00	$0.00
Adjusted Diluted EPS	**$1.51**	**$1.46**	**$1.54**	**$1.16**	**$1.57**	**$1.79**	**$1.89**	**$1.56**	**$0.80**	**($0.82)**	**($0.69)**	**($0.42)**
Shares Outstanding (mil)												
Basic, average	107	105	104	99	99	97	85	84	84	83	84	85
Diluted, average	110	109	106	101	102	99	87	86	86	85	86	87
EBITDA	**314**	**336**	**327**	**326**	**326**	**419**	**293**	**341**	**24**	**(279)**	**110**	**140**
Net Earnings	376	8	141	63	92	168	46	62	(186)	(609)	(60)	(36)
Depreciation & Amortization	(107)	(111)	(125)	(134)	(135)	(137)	(132)	(140)	(126)	(112)	(118)	(118)
Interest expense, net	(78)	(79)	(71)	(72)	(75)	(78)	(82)	(72)	(67)	(67)	(72)	(71)
Income Taxes	247	(138)	10	(57)	(25)	(36)	(33)	(66)	(17)	(151)	20	12
Barclays Adjusted EBITDA	**392**	**435**	**459**	**416**	**446**	**465**	**422**	**395**	**277**	**120**	**125**	**155**
Adjusted EBITDA Margin %	10.7%	11.6%	10.6%	9.7%	10.5%	9.7%	8.2%	8.9%	7.3%	3.7%	4.1%	5.0%
Incremental Adj. EBITDA Margin %	28.4%	44.4%	4.0%	77.1%	(56.2%)	3.5%	(12.0%)	4.0%	17.5%	27.8%	(2.9%)	41.3%

Source: Barclays Research Estimates, Company Data

FIGURE 8. Quarterly Income Statement ($ mn)

JELD-WEN Holding, Inc. Fiscal Year Ending December 31 Income Statement	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26E	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E
North America	2,708	531	556	546	522	2,154	458	498	500	479	1,935	478	518	505	483
Europe	1,067	245	268	263	280	1,057	270	271	270	286	1,097	275	277	275	292
Australasia	0	0	0	0	0	0	-	-	-	-	0	-	-	-	-
Net Revenues	**3,776**	**776**	**824**	**810**	**802**	**3,211**	**727**	**769**	**770**	**764**	**3,031**	**753**	**795**	**780**	**775**
Cost of Sales	(3,087)	(664)	(680)	(669)	(684)	(2,697)	(621)	(632)	(622)	(645)	(2,521)	(634)	(645)	(624)	(648)
Gross Profit	**689**	**112**	**143**	**141**	**118**	**514**	**106**	**137**	**148**	**120**	**510**	**120**	**150**	**157**	**127**
Selling, General and Administrative	(653)	(145)	(149)	(138)	(120)	(551)	(128)	(133)	(130)	(126)	(518)	(138)	(136)	(131)	(125)
Impairment and restructuring	(163)	(139)	(9)	(206)	(12)	(366)	0	0	0	0	0	0	0	0	0
Operating Income (Loss)	**(127)**	**(172)**	**(14)**	**(203)**	**(15)**	**(403)**	**(22)**	**4**	**18**	**(7)**	**(7)**	**(19)**	**13**	**26**	**2**
Interest Income															
Interest Expense	(67)	(15)	(17)	(17)	(18)	(67)	(18)	(18)	(18)	(18)	(72)	(18)	(18)	(18)	(18)
Loss on debt extinguishment	(2)	(0)	0	0	0	(0)					-				
Other Income (Expense)	25	11	5	1	(5)	11	-	-	-	-	0	-	-	-	-
Income (Loss) Before Taxes	**(169)**	**(176)**	**(26)**	**(219)**	**(38)**	**(459)**	**(40)**	**(14)**	**(0)**	**(25)**	**(80)**	**(37)**	**(4)**	**8**	**(15)**
Income Tax Benefit (Expense)	(17)	(3)	4	(149)	(2)	(151)	10	3	0	6	20	9	1	(2)	4
Net Earnings, continuing op.	**(186)**	**(180)**	**(22)**	**(368)**	**(40)**	**(610)**	**(30)**	**(10)**	**(0)**	**(19)**	**(60)**	**(28)**	**(3)**	**6**	**(12)**
Net Income, disc. op.	-	0	1	0	0	1	-	-	-	-	-	-	-	-	-
Gain on sale of discontinued ops, net of tax	-	0	0	0	(0)	(0)	-	-	-	-	-	-	-	-	-
Equity earnings (loss) of non-consolidated entities	-	0	0	0	0	-	-	-	-	-	-	-	-	-	-
Net Income (loss)	**(186)**	**(180)**	**(21)**	**(368)**	**(40)**	**(609)**	**(30)**	**(10)**	**(0)**	**(19)**	**(60)**	**(28)**	**(3)**	**6**	**(12)**
Non-recurring (expense) income items	255	165	18	350	5	539	-	-	-	-	-	-	-	-	-
Net Earnings, adjusted	**69**	**(14)**	**(3)**	**(17)**	**(35)**	**(70)**	**(30)**	**(10)**	**(0)**	**(19)**	**(60)**	**(28)**	**(3)**	**6**	**(12)**
Earnings Per Share															
Diluted, continuing op.	**($2.16)**	**($2.12)**	**($0.26)**	**($4.30)**	**($0.47)**	**($7.15)**	**($0.35)**	**($0.12)**	**($0.00)**	**($0.22)**	**($0.69)**	**($0.32)**	**($0.04)**	**$0.07**	**($0.13)**
Diluted, discontinued op.	$0.00	$0.00	$0.01	$0.00	$0.00	$0.01	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
Diluted, non-recurring items	$2.96	$1.95	$0.21	$4.10	$0.06	$6.32	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
Adjusted Diluted EPS	**$0.80**	**($0.17)**	**($0.04)**	**($0.20)**	**($0.41)**	**($0.82)**	**($0.35)**	**($0.12)**	**($0.00)**	**($0.22)**	**($0.69)**	**($0.32)**	**($0.04)**	**$0.07**	**($0.13)**
Shares Outstanding (mil)															
Basic, average	84	83	83	83	83	83	84	84	84	84	84	84	85	85	85
Diluted, average	86	85	85	85	85	85	86	86	86	86	86	86	87	87	87
EBITDA	**24**	**(134)**	**19**	**(173)**	**10**	**(279)**	**7**	**34**	**47**	**22**	**110**	**11**	**43**	**55**	**32**
Net Earnings	(186)	(180)	(21)	(368)	(40)	(609)	(30)	(10)	(0)	(19)	(60)	(28)	(3)	6	(12)
Depreciation & Amortization	(126)	(27)	(27)	(28)	(29)	(112)	(29)	(29)	(29)	(29)	(118)	(29)	(29)	(29)	(29)
Interest expense, net	(67)	(15)	(17)	(17)	(18)	(67)	(18)	(18)	(18)	(18)	(72)	(18)	(18)	(18)	(18)
Income Taxes	(17)	(3)	4	(149)	(2)	(151)	10	3	0	6	20	9	1	(2)	4
Barclays Adjusted EBITDA	**277**	**22**	**39**	**44**	**15**	**120**	**10**	**38**	**51**	**26**	**125**	**14**	**47**	**60**	**35**
Adjusted EBITDA Margin %	7.3%	2.8%	4.7%	5.5%	1.9%	3.7%	1.4%	4.9%	6.7%	3.3%	4.1%	1.8%	5.9%	7.6%	4.5%

Source: Barclays Research Estimates, Company Data

TOL - Stretched Valuation as Earnings Become 4Q-Weighted

Minimal sales improvement despite lower rates illustrates the fragility of housing demand. Margins down in 2Q while guidance becomes 2H-loaded. We expect ROTE to continue to decline into 2027 as higher lot costs have yet to hit TOL's P&L. PT at $116, or 1.2x our '26e TBV, as ROTE falls to 13% in 2027.

Reiterate UW: Our FY'26 estimates are modestly lower following TOL's 1Q'26 earnings, although we do tweak the year's cadence to reflect its softer than expected 2Q guide, which implies a steeper 2H'26 ramp in deliveries and embeds recovery in gross margins through the year. On the demand side, early commentary indicated that deposits were 'up modestly' y/y and traffic was 'consistent' with the typical uptick in spring selling season demand. TOL emphasized that it is continuing with its blended spec vs. BTO strategy, which differs from strategy shifts we have heard from other BTO builders (TMHC / PHM) that are shifting back toward higher-margin BTO to protect margins in a sticky incentives environment, as TOL likely needs to keep up its spec pace to limit a more severe decline in deliveries. We think that prior commentary around 'flat' lot costs embedded in this year's gross margin guide should illustrate the eventual risk to TOL's gross margin and ROTE, as land and lot costs in the market are higher than flat (management noted land is seeing low-mid SD inflation currently), and land appreciated at higher rates post 2020.

With regard to incentives, TOL noted that incentives remained flat through the end of the calendar year, near 8%, with higher incentives for spec homes relative to its BTO homes. As TOL is focused on holding onto pace by holding or even slightly increasing its spec mix, we wonder if its assumption around flat incentives is realistic through the year, especially as minimal improvement in demand despite lower rates demonstrates the fragility of consumer housing demand. This accordingly leaves some risk to the assumed gross ramp for the year. We expect moderation in building costs is likely realistic given recent comments from peers. We continue to remain UW on TOL, noting we expect TOL's LT gross margin guide of 27-28% may be difficult to achieve for several years.

We think current valuation at 1.7x 2026e TBV looks very stretched when considering ROTE falling to 14% in 2026e and 13% in 2027e.

Valuation, Revisions: We maintain our Underweight rating and move our PT to $116, which reflects 1.2x our F1Q'27 (YE'26) TBV estimate of $96.93. Our previous $110 price target was 1.2x our prior YE'26 TBV estimate of $95.55. We estimate FY'25/'26 EPS of $12.72/$13.31 (prior $12.80/$13.34), with orders +7%/+4% y/y (prior +9%/+3% y/y), and pre-interest GM 26.0%/25.4% (prior 25.9%/25.4%).

Investment Summary and Conclusion

We rate TOL as Underweight with a $116 price target.

Toll Brothers is one of the largest U.S. homebuilders by closings (11,292 units in '25) and revenues ($10.8 bn in '25). TOL operates in 60+ markets across 23 states, with an estimated average local market share of 5%.

By geography, TOL has significant presence in the Northeast, California, and Texas. TOL generates the vast majority of its revenues from the move up and luxury market segment and has expanded its offerings to accommodate affordable luxury. At a luxury price point ('25 ASP of $960k), TOL predominantly competes with small private builders. In addition, TOL has recently grown its multi-family development operations.

TOL currently controls approximately ~75,000 lots, representing 6.7x years of land supply (based on TTM closings), which consists of 55% optioned land and 45% owned land. At 15% net debt to capital (1Q'26), TOL's leverage is higher than the peer average.

Valuation

Our $116 price target reflects 1.2x our F1Q'27 (CY'26) tangible book value estimate of $96.93. Our prior price target of $110 reflected 1.2x our TBV (CY'26) tangible book value estimate of $95.55.

FIGURE 9. We Est. CY'26 TBV Per Share of $96.93

Book Value Walk	($ mln)
1Q/26 Reported Tangible Book Value	$8,409
Diluted Share Count (1Q/26)	97
= 1Q/26 Tangible Book Value Per Share	**$87.14**
+ Barclays TOL Net Income Est. 2Q/26 - 1Q/27	$1,160
- Barclays Est. Cash Returned to Shareholders 2Q/26 - 1Q/27	-$722
= 1Q/27 Tangible Book Value	**$8,848**
Diluted Share Count (1Q/27)	91
= 1Q/27 Tangible Book Value Per Share	**$96.93**

Source: Barclays Research, Company Data

FIGURE 10. TOL Summary Model ($ mn)

Toll Brothers (Fiscal Year End)	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Total Revenue ($ mln)	$1,883	$2,674	$3,912	$4,171	$5,170	$5,815	$7,143	$7,080	$6,937	$8,432	$9,711	$9,866	$10,563	$10,842	$10,183	$10,780
Y/Y Chg. %	28%	42%	46%	7%	24%	12%	23%	(1%)	(2%)	22%	15%	2%	7%	3%	(6%)	6%
Pre-tax Income ($ mln)	$113	$268	$505	$536	$589	$814	$934	$787	$587	$1,135	$1,704	$1,842	$2,086	$1,791	$1,609	$1,617
Pre-tax margin	6.0%	10.0%	12.9%	12.8%	11.4%	14.0%	13.1%	11.1%	8.5%	13.5%	17.5%	18.7%	19.7%	16.5%	15.8%	15.0%
EPS	$2.87	$0.96	$1.83	$1.97	$2.18	$3.17	$4.85	$4.03	$3.40	$6.63	$10.90	$12.36	$15.01	$13.49	$12.72	$13.31
Return on Equity	18.1%	5.4%	9.2%	9.0%	9.1%	12.1%	16.5%	12.0%	9.5%	16.8%	23.6%	21.3%	21.7%	16.9%	14.1%	13.3%
Tangible Book Value Per Share	$18.48	$19.37	$21.44	$23.61	$25.50	$28.42	$31.82	$35.33	$37.82	$42.68	$52.78	$62.71	$74.71	$84.80	$96.05	$105.34
Homebuilding																
HB Revenues ($ mln)	$1,883	$2,674	$3,912	$4,171	$5,170	$5,815	$7,143	$7,080	$6,937	$8,432	$9,711	$9,866	$10,563	$10,842	$10,183	$10,780
Y/Y Chg. %	28%	42%	46%	7%	24%	12%	23%	(1%)	(2%)	22%	15%	2%	7%	3%	(6%)	6%
Gross Margin %	21.4%	22.4%	24.6%	24.5%	24.4%	23.8%	23.0%	22.4%	21.0%	22.8%	25.8%	27.3%	27.2%	26.2%	24.9%	24.4%
SG&A %	17.3%	14.7%	13.1%	12.9%	12.4%	12.4%	11.5%	12.4%	12.5%	10.9%	10.1%	9.2%	9.3%	9.5%	10.2%	10.1%
Unit Metrics																
Orders (units)	4,159	5,294	5,271	5,910	6,719	8,175	8,519	8,075	9,932	12,472	8,255	8,077	10,231	9,943	10,667	11,090
Y/Y Chg. %	49%	27%	(0%)	12%	14%	22%	4%	(5%)	23%	26%	(34%)	(2%)	27%	(3%)	7%	4%
Community Count (Ending)	224	232	263	288	310	305	315	333	317	340	348	370	408	446	486	501
Y/Y Chg. %	4%	4%	13%	10%	8%	(2%)	3%	6%	(5%)	7%	2%	6%	10%	9%	9%	3%
Sales Per Community	18.4	23.5	21.2	22.1	22.6	26.1	28.4	25.3	30.5	39.0	24.7	23.2	26.3	23.7	23.2	22.7
Y/Y Chg. %	34%	28%	(10%)	4%	2%	16%	9%	(11%)	21%	28%	(37%)	(6%)	13%	(10%)	(2%)	(2%)
Deliveries (units)	3,286	4,184	5,397	5,525	6,098	7,151	8,265	8,107	8,496	9,986	10,515	9,597	10,813	11,292	10,354	10,917
Y/Y Chg. %	26%	27%	29%	2%	10%	17%	16%	(2%)	5%	18%	5%	(9%)	13%	4%	(8%)	5%
Deliveries - Average Selling Price ($000's)	$573	$639	$725	$755	$848	$813	$864	$874	$817	$844	$924	$1,028	$977	$960	$983	$987
Balance Sheet																
Net-debt to Capital	32%	34%	42%	40%	43%	36%	35%	34%	35%	27%	25%	19%	17%	17%	13%	12%
Total Lot Count	40,350	48,628	47,167	44,253	48,837	48,311	53,422	59,230	63,182	80,900	76,000	70,700	74,700	76,102	69,783	74,666
Years Supply of Land (LTM)	12.3x	11.6x	8.7x	8.0x	8.0x	6.8x	6.5x	7.3x	7.4x	8.1x	7.2x	7.4x	6.9x	6.7x	6.7x	6.8x
Cash Flow from Operations ($ mln)	($169)	($569)	$313	$60	$149	$960	$602	$438	$1,008	$1,303	$987	$1,266	$1,010	$1,112	$936	$753

Source: Barclays Research, Company Data

FIGURE 11. TOL Annual Income Statement ($ mn)

TOLL BROTHERS, INC.	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
$ in millions, except per share data	10/31/16	10/31/17	10/31/18	10/31/19	10/31/20	10/31/21	10/31/22	10/31/23	10/31/24	10/31/25	10/31/26	10/31/27
Income Statement												
Homebuilding:												
Revenues	5,170	5,815	7,143	7,080	6,937	8,432	9,711	9,866	10,563	10,842	10,183	10,780
Cost of sales (as reported)	(4,144)	(4,562)	(5,673)	(5,679)	(5,534)	(6,538)	(7,237)	(7,207)	(7,753)	(8,070)	(7,661)	(8,150)
Gross Profit	1,025	1,253	1,470	1,401	1,403	1,893	2,474	2,659	2,810	2,772	2,522	2,631
Selling, general and administrative	(535)	(606)	(684)	(735)	(867)	(922)	(978)	(909)	(982)	(1,034)	(1,043)	(1,094)
Homebuilding Profit	**490**	**647**	**786**	**667**	**536**	**971**	**1,496**	**1,749**	**1,828**	**1,739**	**1,479**	**1,537**
Income from unconsolidated entities	41	116	85	25	1	74	24	50	(24)	19	72	40
Other Income (loss)	58	52	62	95	50	89	184	43	282	33	58	40
Total Pre Tax Income	**589**	**814**	**934**	**787**	**587**	**1,135**	**1,704**	**1,842**	**2,086**	**1,791**	**1,609**	**1,617**
Income Taxes	(207)	(279)	(186)	(197)	(140)	(267)	(417)	(470)	(514)	(445)	(410)	(421)
Extraordinary Charges	0	-	0	0	0	(34)	0	0	0	0	0	0
Net Income	**382**	**535**	**748**	**590**	**447**	**834**	**1,287**	**1,372**	**1,571**	**1,346**	**1,199**	**1,197**
Diluted EPS	**$2.18**	**$3.17**	**$4.85**	**$4.03**	**$3.40**	**$6.63**	**$10.90**	**$12.36**	**$15.01**	**$13.49**	**$12.72**	**$13.31**
Diluted Share Count (AVG.)	176	169	154	147	131	126	118	111	105	100	94	90
Diluted earnings per share adjustments	-	0	0	-	-	-	-	-	-	-	-	-
Basic EPS	$2.27	$3.30	$4.92	$4.07	$3.43	$6.72	$11.02	$12.47	$15.16	$13.60	$12.66	$13.14
Basic Share Count	168	162	152	145	130	124	117	110	104	99	95	91
Basic earnings per share adjustments	-	-	-	-	-	-	-	-	-	-	-	-

Source: Barclays Research, Company Data

FIGURE 12. TOL Quarterly Income Statement ($ mn)

TOLL BROTHERS, INC.	2024	1Q 2025	2Q 2025	3Q 2025	4Q 2025	2025	1Q 2026	2Q 2026E	3Q 2026E	4Q 2026E	2026E	1Q 2027E	2Q 2027E	3Q 2027E	4Q 2027E	2027E	1Q 2028E
$ in millions, except per share data	10/31/24	1/31/25	4/30/25	7/31/25	10/31/25	10/31/25	1/31/26	4/30/26	7/31/26	10/31/26	10/31/26	1/31/27	4/30/27	7/31/27	10/31/27	10/31/27	1/31/28
Income Statement																	
Homebuilding:																	
Revenues	10,563	1,841	2,706	2,881	3,414	10,842	1,855	2,408	2,785	3,134	10,183	1,970	2,633	2,965	3,212	10,780	2,016
Cost of sales (as reported)	(7,753)	(1,381)	(2,002)	(2,143)	(2,543)	(8,070)	(1,395)	(1,821)	(2,097)	(2,348)	(7,661)	(1,489)	(1,991)	(2,242)	(2,429)	(8,150)	(1,524)
Gross Profit	2,810	459	704	738	871	2,772	460	588	688	787	2,522	481	643	724	784	2,631	492
Selling, general and administrative	(982)	(240)	(256)	(254)	(284)	(1,034)	(258)	(257)	(253)	(276)	(1,043)	(268)	(273)	(267)	(286)	(1,094)	(279)
Homebuilding Profit	**1,828**	**219**	**448**	**485**	**587**	**1,739**	**202**	**331**	**435**	**511**	**1,479**	**213**	**370**	**457**	**498**	**1,537**	**212**
Income from unconsolidated entities	(24)	(9)	11	(1)	17	19	35	0	18	19	72	10	10	10	10	40	10
Other Income (loss)	282	11	18	16	(11)	33	37	-	11	10	58	10	10	10	10	40	11
Total Pre Tax Income	**2,086**	**221**	**478**	**500**	**593**	**1,791**	**274**	**331**	**464**	**540**	**1,609**	**233**	**390**	**477**	**518**	**1,617**	**233**
Income Taxes	(514)	(44)	(125)	(130)	(146)	(445)	(63)	(86)	(121)	(140)	(410)	(60)	(101)	(124)	(135)	(421)	(61)
Extraordinary Charges	0	-	-	-	-	0	-	-	-	-	0	-	-	-	-	0	-
Net Income	**1,571**	**178**	**352**	**370**	**447**	**1,346**	**211**	**245**	**344**	**400**	**1,199**	**172**	**289**	**353**	**383**	**1,197**	**172**
Diluted EPS	**$15.01**	**$1.75**	**$3.50**	**$3.73**	**$4.58**	**$13.49**	**$2.19**	**$2.57**	**$3.69**	**$4.34**	**$12.72**	**$1.89**	**$3.19**	**$3.94**	**$4.33**	**$13.31**	**$1.97**
Diluted Share Count (AVG.)	105	102	101	99	98	100	97	95	93	92	94	91	90	89	89	90	88
Diluted earnings per share adjustments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Basic EPS	$15.16	$1.76	$3.53	$3.76	$4.62	$13.60	$2.20	$2.57	$3.64	$4.28	$12.66	$1.86	$3.15	$3.89	$4.27	$13.14	$1.94
Basic Share Count	104	101	100	98	97	99	96	95	94	93	95	92	92	91	90	91	89
Basic earnings per share adjustments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Barclays Research, Company Data

U.S. Homebuilding & Building Products — POSITIVE

JELD-WEN Holding, Inc. (JELD)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	3,211	3,031	3,103	N/A	N/A
EBITDA (adj)	120	125	155	N/A	N/A
EBIT (adj)	-162	-7	23	N/A	N/A
Pre-tax income	-459	-80	-49	N/A	N/A
Net income	-610	-60	-36	N/A	N/A
EPS (adj) ($)	-0.82	-0.69	-0.42	N/A	N/A
Diluted shares (mn)	85.3	85.9	86.7	N/A	N/A
DPS ($)	0.00	0.00	0.00	N/A	N/A
Margin and return data	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
EBITDA (adj) margin (%)	3.7	4.1	5.0	N/A	4.3
EBIT (adj) margin (%)	-5.0	-0.2	0.7	N/A	-1.5
Pre-tax margin (%)	-14.3	-2.6	-1.6	N/A	-6.2
Net margin (%)	-2.2	-2.0	-1.2	N/A	-1.8
ROIC (%)	-15.9	-0.3	1.1	N/A	-5.0
ROA (%)	-3.3	-2.9	-1.9	N/A	-2.7
ROE (%)	-74.0	-115.0	-110.9	N/A	-100.0
Balance sheet and cash flow ($mn)	**2025A**	**2026E**	**2027E**	**2028E**	**CAGR**
Cash and equivalents	136	60	27	N/A	N/A
Total assets	2,103	2,044	1,924	N/A	N/A
Goodwill	0	0	0	N/A	N/A
Short and long-term debt	1,173	1,155	1,036	N/A	N/A
Net debt/(funds)	1,035	1,093	1,007	N/A	N/A
Total liabilities	2,009	1,992	1,891	N/A	N/A
Shareholders' equity	94	52	33	N/A	N/A
Tangible book value	-2	-44	-63	N/A	N/A
Inventories	444	440	410	N/A	N/A
Working capital	568	600	512	N/A	N/A
Cash flow from operations	-5	41	185	N/A	N/A
Capital expenditure	-120	-98	-99	N/A	N/A
Free cash flow	-141	-58	86	N/A	N/A
Valuation and leverage metrics	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
P/E (adj) (x)	N/A	N/A	N/A	N/A	N/A
EV/sales (x)	0.4	0.4	0.4	N/A	0.4
EV/EBITDA (adj) (x)	10.1	10.2	7.7	N/A	9.3
Equity FCF yield (%)	-76.1	-30.9	45.6	N/A	-20.5
Dividend yield (%)	0.0	0.0	0.0	N/A	0.0
Net debt/capital (%)	91.7	95.5	96.8	N/A	94.7

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (20-Feb-2026)	**USD 2.17**
Price Target	**USD 2.50**

Why EQUAL WEIGHT?

JELD has comparatively less upside relative to its peer set, owing to persistent cost pressures and geopolitical pressures, offset by pricing strength and consistent productivity gains, as well as a recovery in NA new resi markets.

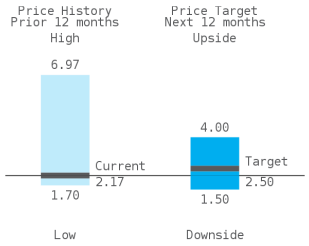
Upside case **USD 4.00**

Our upside case assumes that better volume growth coupled with a healthier cost position to support higher margins, assuming JELD can hold price & execute on cost mitigation strategies & productivity initiatives.

Downside case **USD 1.50**

Our downside case assumes that construction volumes remain under pressure, JELD sees limited productivity gains and cost headwinds, European market growth remains under pressure.

Upside/Downside scenarios



U.S. Homebuilding & Building Products — POSITIVE

Hillman Solutions Corp (HLMN)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	1,552	1,629	1,682	N/A	N/A
EBITDA (adj)	275	278	290	N/A	N/A
EBIT (adj)	134	127	129	N/A	N/A
Pre-tax income	57	51	52	N/A	N/A
Net income	40	38	39	N/A	N/A
EPS (adj) ($)	0.58	0.49	0.52	N/A	N/A
Diluted shares (mn)	199.5	199.8	198.8	N/A	N/A
DPS ($)	0.00	0.00	0.00	N/A	N/A

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	17.7	17.0	17.3	N/A	17.3
EBIT (adj) margin (%)	N/A	N/A	N/A	N/A	N/A
Pre-tax margin (%)	N/A	N/A	N/A	N/A	N/A
Net margin (%)	2.6	2.3	2.3	N/A	2.4
ROIC (%)	-4.6	-4.3	-4.5	N/A	-4.5
ROA (%)	1.7	1.6	1.7	N/A	1.7
ROE (%)	3.3	3.1	3.1	N/A	3.2

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	27	27	27	N/A	N/A
Total assets	2,356	2,331	2,265	N/A	N/A
Goodwill	831	831	831	N/A	N/A
Short and long-term debt	683	613	521	N/A	N/A
Net debt/(funds)	656	586	494	N/A	N/A
Total liabilities	1,128	1,087	1,001	N/A	N/A
Shareholders' equity	1,229	1,245	1,263	N/A	N/A
Tangible book value	-148	-66	22	N/A	N/A
Inventories	486	514	526	N/A	N/A
Working capital	459	488	501	N/A	N/A
Cash flow from operations	105	184	211	N/A	N/A
Capital expenditure	-70	-72	-77	N/A	N/A
Free cash flow	35	112	134	N/A	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	15.4	18.2	17.2	N/A	16.9
EV/sales (x)	1.6	1.5	1.4	N/A	1.5
EV/EBITDA (adj) (x)	8.9	8.5	7.9	N/A	8.4
Equity FCF yield (%)	2.0	6.3	7.5	N/A	5.2
P/BV (x)	-12.0	-26.9	80.4	N/A	13.8
Dividend yield (%)	0.0	0.0	0.0	N/A	0.0
Net debt/capital (%)	34.3	31.5	27.7	N/A	31.2

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (20-Feb-2026)	**USD 8.95**
Price Target	**USD 10.00**

Why EQUAL WEIGHT?

We think HLMN's current valuation reflects an industrial distribution multiple reflecting its highly stable organic growth driven by unique category management for high SKU count, and foot traffic-driving products at key retailers.

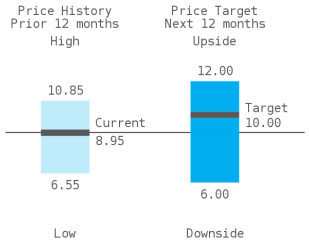
Upside case **USD 12.00**

HLMN sees price-cost catch-up this year as price increases roll through, while steel deflation and a normalization in transportation costs drives margin upside.

Downside case **USD 6.00**

1) Softer foot traffic pressures volumes, 2) deflationary pricing impedes price-cost recovery, 3) volatile geopolitical dynamics disrupt the supply chain, impeding HLMN's ability to source product for its customers.

Upside/Downside scenarios



U.S. Homebuilding & Building Products — POSITIVE

Toll Brothers Inc. (TOL)

UNDERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	10,842	10,183	10,780	N/A	N/A
EBITDA (adj)	1,994	1,747	1,753	N/A	N/A
EBIT (adj)	1,912	1,723	1,729	N/A	N/A
Pre-tax income	1,791	1,609	1,617	N/A	N/A
Net income	1,346	1,199	1,197	N/A	N/A
EPS (adj) ($)	13.49	12.72	13.31	N/A	N/A
Diluted shares (mn)	99.8	94.2	89.9	N/A	N/A
DPS ($)	0.98	0.98	0.98	N/A	N/A
Margin and return data	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
EBITDA (adj) margin (%)	19.0	17.3	16.3	N/A	17.5
EBIT (adj) margin (%)	16.6	14.6	14.3	N/A	15.2
Pre-tax margin (%)	17.1	15.9	15.0	N/A	16.0
Net margin (%)	12.4	11.8	11.1	N/A	11.8
ROIC (%)	13.6	11.6	11.1	N/A	12.1
ROA (%)	9.6	8.2	8.1	N/A	8.6
ROE (%)	16.9	14.1	13.3	N/A	14.8
Balance sheet and cash flow ($mn)	**2025A**	**2026E**	**2027E**	**2028E**	**CAGR**
Cash and equivalents	1,259	1,412	1,402	N/A	N/A
Total assets	14,520	14,897	14,910	N/A	N/A
Goodwill	0	0	0	N/A	N/A
Short and long-term debt	2,960	2,721	2,721	N/A	N/A
Net debt/(funds)	1,701	1,309	1,320	N/A	N/A
Total liabilities	6,234	6,030	5,567	N/A	N/A
Shareholders' equity	8,271	8,856	9,331	N/A	N/A
Tangible book value	8,271	8,856	9,331	N/A	N/A
Inventories	10,678	11,736	12,014	N/A	N/A
Working capital	9,218	10,176	10,999	N/A	N/A
Cash flow from operations	1,112	936	753	N/A	N/A
Capital expenditure	-86	-32	-32	N/A	N/A
Free cash flow	1,026	904	721	N/A	N/A
Valuation and leverage metrics	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
P/E (adj) (x)	12.0	12.7	12.2	N/A	12.3
EV/sales (x)	1.6	1.7	1.6	N/A	1.6
EV/EBITDA (adj) (x)	8.6	9.6	9.6	N/A	9.3
Equity FCF yield (%)	6.3	5.9	5.0	N/A	5.7
P/BV (x)	1.9	1.7	1.5	N/A	1.7
Dividend yield (%)	0.6	0.6	0.6	N/A	0.6
Net debt/capital (%)	17.1	12.9	12.4	N/A	14.1
Selected operating metrics	**2025A**	**2026E**	**2027E**	**2028E**	
Backlog ($mn)	4,647	4,960	5,133	N/A	
Number of orders	9,943.0	10,667.2	11,090.0	N/A	
Closed orders (k)	11,292	10,354	10,917	N/A	
Average closing price ($)	960	983	987	N/A	
Backlog price ($)	1,182	1,129	931	N/A	

Note: FY End Oct
Source: Company data, Bloomberg, Barclays Research

Price (20-Feb-2026)	**USD 162.00**
Price Target	**USD 116.00**

Why UNDERWEIGHT?

We expect that TOL's high exposure to higher price points is likely to lead to growth under performance compared to builders that operate at more affordable price points, particularly in a rising interest rate environment. The higher-end may also see greater relative pressure to pricing power, as the demographics and inventory backdrop favor lower-end.

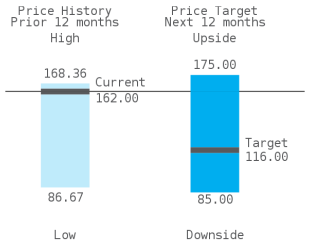
Upside case **USD 175.00**

Our upside valuation case reflects: (1) Sustaining demand at higher-end price points; (2) pricing power holding firm despite higher rates; (3) better ROTE leading to a higher valuation.

Downside case **USD 85.00**

Our downside valuation case reflects: (1) Softer high-end demand; (2) incentives moving higher in a more sluggish housing backdrop; (3) slowing high-end inter-state moves as the work-from-home migration normalizes; (4) relatively greater gross margin pressure from materials/labor.

Upside/Downside scenarios



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Primary Stocks (Ticker, Date, Price)
Hillman Solutions Corp (HLMN, 20-Feb-2026, USD 8.95), Equal Weight/Positive, CE/J

JELD-WEN Holding, Inc. (JELD, 20-Feb-2026, USD 2.17), Equal Weight/Positive, CE/D/FA/J/K/L/M/N

Toll Brothers Inc. (TOL, 20-Feb-2026, USD 162.00), Underweight/Positive, CE/J

Materially Mentioned Stocks (Ticker, Date, Price)
Taylor Morrison Home Corp. (TMHC, 20-Feb-2026, USD 67.91), Overweight/Positive, CE/J

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Stock Rating
Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

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U.S. Homebuilding & Building Products

Advanced Drainage Systems Inc. (WMS)	Builders FirstSource Inc. (BLDR)	Champion Homes, Inc. (SKY)
Compass Inc. (COMP)	Core & Main, Inc. (CNM)	D.R. Horton Inc. (DHI)
Ferguson Enterprises Inc. (FERG)	Fortune Brands Innovations, Inc. (FBIN)	Hillman Solutions Corp (HLMN)
James Hardie Industries plc (JHX)	JELD-WEN Holding, Inc. (JELD)	KB Home (KBH)
Latham Group, Inc. (SWIM)	Lennar Corp. (LEN)	Louisiana-Pacific Corp. (LPX)
Masco Corp. (MAS)	Mohawk Industries Inc. (MHK)	Owens Corning Inc. (OC)
PulteGroup Inc. (PHM)	SiteOne Landscape Supply Inc. (SITE)	Taylor Morrison Home Corp. (TMHC)
Toll Brothers Inc. (TOL)	Trex Company, Inc. (TREX)	

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Hillman Solutions Corp (HLMN / HLMN)

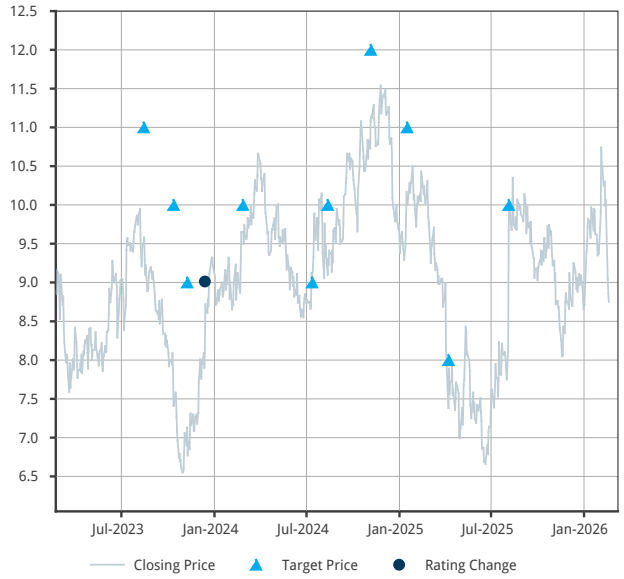
Stock Rating: **EQUAL WEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 8.95** (20-Feb-2026)

Rating and Price Target Chart - USD (as of 20-Feb-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
05-Aug-2025	8.13		10.00
08-Apr-2025	7.50		8.00
16-Jan-2025	10.17		11.00
05-Nov-2024	11.09		12.00
12-Aug-2024	9.33		10.00
12-Jul-2024	9.12		9.00
26-Feb-2024	9.65		10.00
13-Dec-2023	7.90	Equal Weight	
08-Nov-2023	7.13		9.00
12-Oct-2023	8.09		10.00
14-Aug-2023	9.34		11.00

On 22-Feb-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 10.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our $10 price target reflects 9.5x our CY'26e EBITDA of $263 mn (including stock based comp), and assumes current net debt $586 mn. Our target multiple assumes that HLMN trades in-line with industrial distribution peers, but at a discount to peer FAST, which we think is fair given its similar product categories but different end-market and customer exposures.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the upside include the potential tailwind of new business wins in 2025 along with favorable price cost benefit. Other risks include: 1) Significant home center exposure further delays timing of price-cost recovery; 2) Inflation in steel and transportation costs pressures margins; 3) Slower than expected remodeling activity weighs on volumes and degrades pricing power; 4) Material shortages delay rollout of Robotics products; 5) Changes in relationships with key customers; 6) Import risk.

JELD-WEN Holding, Inc. (JELD / JELD)

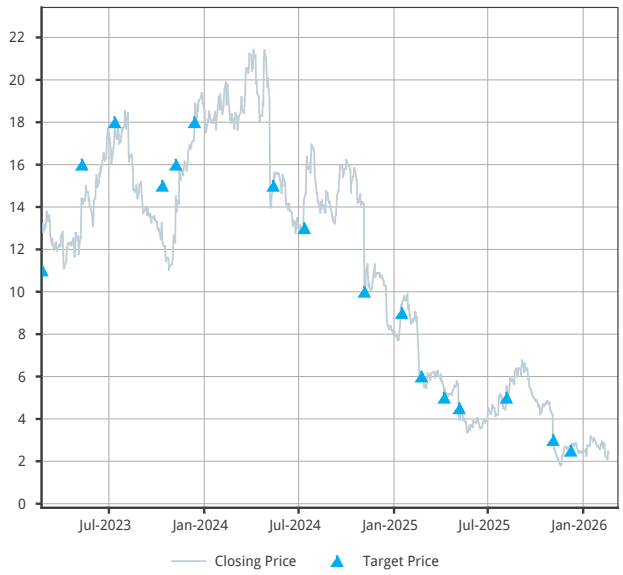
Stock Rating: **EQUAL WEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 2.17** (20-Feb-2026)

Rating and Price Target Chart - USD (as of 20-Feb-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
08-Dec-2025	2.61		2.50
04-Nov-2025	2.92		3.00
06-Aug-2025	5.54		5.00
07-May-2025	4.04		4.50
08-Apr-2025	5.50		5.00
23-Feb-2025	5.94		6.00
16-Jan-2025	9.38		9.00
05-Nov-2024	9.92		10.00
12-Jul-2024	14.17		13.00
13-May-2024	14.56		15.00
13-Dec-2023	17.12		18.00
07-Nov-2023	14.50		16.00
12-Oct-2023	12.81		15.00
12-Jul-2023	17.02		18.00
10-May-2023	14.41		16.00

On 22-Feb-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 11.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our $2.50 price target reflects 10.6x our CY'26e EBITDA of $125 mn, which assumes YE'26 net debt of $1.1 bn, and removes pensions of $24 mn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our Equal Weight rating and price target include: To the upside: 1) JELD sees deflationary dynamics in hardwoods & other raw materials, supporting margin expansion; 2) European demand outperforms expectations; 3) JELD executes successful cost offsets on transportation & raw material inflation; 4) North American end markets see greater than expected acceleration. To the downside: 1) The Window industry structure is less favorable, 2) Raw material pressures could be a challenge for JELD's sourcing initiatives and could pressure margins without a pricing offset; 3) JELD has relatively higher international exposure including exposure to European end markets; 4) legal proceeding risk.

Taylor Morrison Home Corp. (TMHC / TMHC)

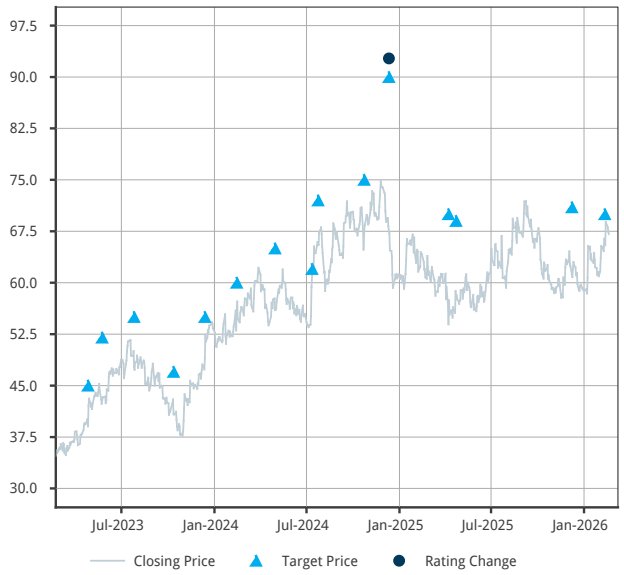
Stock Rating: **OVERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 67.91** (20-Feb-2026)

Rating and Price Target Chart - USD (as of 20-Feb-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
11-Feb-2026	65.70		70.00
08-Dec-2025	62.44		71.00
23-Apr-2025	58.79		69.00
08-Apr-2025	56.79		70.00
11-Dec-2024	68.25	Overweight	90.00
23-Oct-2024	67.20		75.00
24-Jul-2024	65.58		72.00
12-Jul-2024	59.36		62.00
30-Apr-2024	56.01		65.00
14-Feb-2024	56.00		60.00
13-Dec-2023	47.37		55.00
12-Oct-2023	42.38		47.00
26-Jul-2023	47.72		55.00
24-May-2023	42.35		52.00
26-Apr-2023	39.06		45.00

On 22-Feb-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 40.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our $70 price target reflects 1.1x our FY'26e book value of $62.49. We think that this multiple is justified given TMHC's greater disconnect between its ROE and P/TBV vs its peers and prefer it on a relative basis.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks include: (1) Affordability constraints in many of TMHC's markets already back to historical levels; (2) Labor and input cost inflation could weigh on incremental pricing power; (3) Interest rate & Inflationary pressures stall out the housing market; (4) Rising existing home inventory levels in key TMHC markets like Florida and Texas could drive pricing risk; (5) Incentives have an outsized impact to gross margins.

Toll Brothers Inc. (TOL / TOL)

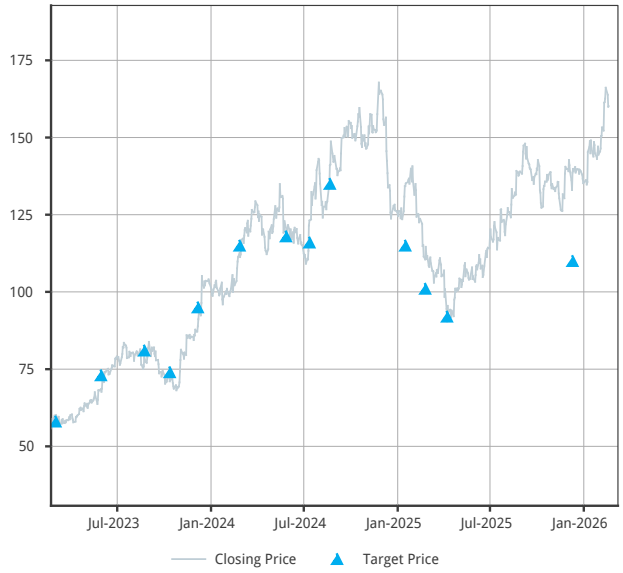
Stock Rating: **UNDERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 162.00** (20-Feb-2026)

Rating and Price Target Chart - USD (as of 20-Feb-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
10-Dec-2025	132.98		110.00
08-Apr-2025	94.52		92.00
24-Feb-2025	111.48		101.00
16-Jan-2025	134.23		115.00
21-Aug-2024	141.03		135.00
12-Jul-2024	121.47		116.00
27-May-2024	122.91		118.00
26-Feb-2024	111.30		115.00
06-Dec-2023	88.90		95.00
12-Oct-2023	74.14		74.00
23-Aug-2023	78.85		81.00
30-May-2023	68.50		73.00
02-Mar-2023	59.18		58.00

On 22-Feb-2023, prior to any intra-day change that may have been published, the rating for this security was Underweight, and the adjusted price target was 50.00.

Source: Bloomberg, Barclays Research

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CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by Toll Brothers Inc..
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Valuation Methodology: Our $116 price target reflects 1.2x our CY'26e book value of $96.93. We feel this multiple is justified due to TOL's lower relative ROE vs. industry leading peers, greater margin volatility reflecting its movement toward spec, and less favorable geographic / demographic and land exposure.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: (1) Softer demand trends at the high-end; (2) additional price cuts at TOL's higher-end price points relative to the more affordable end of the market; (3) inability to boost absorptions depressing ROTE. Upside risks include a lower interest rate environment driving improved demand, recovery in spec margins with lower incentives, and high-end buyer resiliency.

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U.S. Homebuilding & Building Products

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